

Financial Statement & Business Analysis

Entity: Tata Consultancy Services Limited (NSE: TCS | BSE: 532540) | **Reporting Periods:** FY 2022-23 vs. FY 2023-24 (Audited Consolidated)

Executive Analytical Summary: Tata Consultancy Services Ltd. (TCS) is an Indian multinational IT services and consulting organization. This document presents a formula-driven financial analysis of TCS's consolidated audited financial statements for FY 2023-24 compared against FY 2022-23, covering Balance Sheet structure, Statement of Profit and Loss operations, Cash Flow dynamics, capital allocation, and key financial ratios.

1. Corporate Profile & Reporting Framework

Tata Consultancy Services Limited (TCS) operates in the information technology consulting and software services sector. Financial statements are prepared in compliance with Indian Accounting Standards (Ind AS) notified under Section 133 of the Companies Act, 2013, and audited by independent statutory auditors. Financial figures presented below are sourced directly from the official *TCS Integrated Annual Report 2023-24* (Consolidated Financial Statements).

Parameter	Details / Source Information
Company Name	Tata Consultancy Services Limited
Exchange Tickers	NSE: TCS BSE: 532540 ISIN: INE467B01029
Industry Classification	Information Technology - IT Consulting & Software Services
Primary Source Document	TCS Integrated Annual Report 2023-24 (Audited Consolidated Accounts)
Statutory Auditors	B S R & Co. LLP, Chartered Accountants
Reporting Currency	Indian Rupees (in INR Crore, unless otherwise noted)

2. Statement of Profit & Loss (Operational Performance)

In FY 2023-24, TCS generated consolidated revenue of INR 240,893 crore, representing a 6.85% year-over-year expansion. Operating profit (EBIT) grew 9.34% YoY, supported by disciplined general and administrative expense management and improved operational productivity.

Financial Line Item	FY 2022-23 (INR Cr)	FY 2023-24 (INR Cr)	YoY Change (INR)	YoY Growth (%)	Metric Nature
Revenue from Operations	225,458	240,893	+15,435	+6.85%	Reported
Employee Benefit Expenses	127,522	137,043	+9,521	+7.47%	Reported
Other Operating Expenses	38,669	39,563	+894	+2.31%	Reported
Depreciation & Amortisation	5,030	4,985	-45	-0.89%	Reported
Operating Profit (EBIT)	54,237	59,302	+5,065	+9.34%	Reported
Other Income (Net)	3,449	2,735	-714	-20.70%	Reported
Finance Costs (Interest on Leases)	762	789	+27	+3.54%	Reported
Profit Before Tax (PBT)	56,924	61,248	+4,324	+7.60%	Reported
Tax Expense	14,621	15,142	+521	+3.56%	Reported
Profit for the Year (PAT)	42,147	45,908	+3,761	+8.92%	Reported
Basic & Diluted EPS (INR)	115.19	126.88	+11.69	+10.15%	Reported

3. Consolidated Balance Sheet & Capital Structure

TCS maintains an asset-light operating model characterized by low property, plant, and equipment capital intensity relative to revenue, substantial holdings in liquid current investments, and zero bank borrowings.

Balance Sheet Component	As of 31-Mar-23 (INR Cr)	As of 31-Mar-24 (INR Cr)	Absolute YoY (INR)	Nature / Classification
Property, Plant & Equipment & Intangibles	20,296	19,842	-454	Non-Current Asset
Right-of-Use Assets (Leases)	7,713	7,688	-25	Non-Current Asset (Ind AS 116)
Other Non-Current Assets	8,073	9,971	+1,898	Non-Current Asset
Total Non-Current Assets	36,082	37,501	+1,419	Subtotal

Current Investments (Liquid Mutual Funds/Bonds)	28,958	39,267	+10,309	Current Asset (Liquid)
Trade Receivables (Unbilled + Invoiced)	50,604	49,271	-1,333	Current Asset
Cash and Cash Equivalents & Bank Balances	11,032	7,517	-3,515	Current Asset (Cash)
Other Current Assets	17,166	9,404	-7,762	Current Asset
Total Current Assets	107,760	105,459	-2,301	Subtotal
TOTAL ASSETS	143,842	142,960	-882	Total
Equity Share Capital	366	362	-4	Shareholders' Funds
Other Equity (Retained Earnings & Reserves)	90,058	90,126	+68	Shareholders' Funds
Total Shareholders' Equity	90,424	90,488	+64	Total Equity
Interest-Bearing Borrowings (Short & Long Term)	0	0	0	Debt (Zero Borrowings)
Lease Liabilities (Non-Current)	5,532	5,358	-174	Non-Current Liability (Leases)
Other Non-Current Liabilities	8,102	8,395	+293	Non-Current Liability
Lease Liabilities (Current)	2,398	2,425	+27	Current Liability (Leases)
Trade Payables & Other Current Liabilities	37,386	36,294	-1,092	Current Liability
Total Current Liabilities	39,784	38,719	-1,065	Subtotal
TOTAL EQUITY AND LIABILITIES	143,842	142,960	-882	Total

Technical Nuance on Borrowings & Net Cash Position:

- Interest-Bearing Borrowings:** TCS carries zero commercial paper, bank borrowings, or institutional debt (Interest-bearing debt = INR 0).
- Lease Obligations:** Total contractual lease liabilities recognized under Ind AS 116 equal INR 7,783 crore (Current: INR 2,425 Cr + Non-Current: INR 5,358 Cr).
- Net Cash Position Formula:** *Net Cash = (Cash & Cash Equivalents + Bank Balances + Current Investments) - (Interest-Bearing Borrowings + Total Lease Liabilities).*
- Calculated Net Cash (FY24):** (INR 7,517 Cr + INR 39,267 Cr) - INR 7,783 Cr = **INR 39,001 Crore** in surplus net liquidity.

4. Consolidated Cash Flow & Capital Allocation

TCS exhibits high operating cash generation, with operating cash flows converting over 96% of net profit into physical cash in FY24. Free cash flow is primarily allocated toward shareholder payouts via dividends and share buybacks.

Cash Flow Activity	FY 2022-23 (INR Cr)	FY 2023-24 (INR Cr)	YoY Change (INR)	Analytical Remarks
Cash Flow from Operating Activities (CFO)	41,965	44,282	+2,317	Cash conversion equals 96.46% of PAT
Cash Flow from Investing Activities (CFI)	5,820	-2,165	-7,985	Reflects net investment deployments and capex
Of which: Capital Expenditure (Capex)	-3,148	-3,082	+66	Investments in IT systems and premises
Cash Flow from Financing Activities (CFF)	-47,949	-47,896	+53	Includes INR 46,223 Cr in dividends & buybacks
Net Change in Cash & Cash Equivalents	-164	-5,779	-5,615	Driven by increased liquid mutual fund holdings
Free Cash Flow (FCF = CFO - Capex)	38,817	41,200	+2,383	Calculated: Cash available for corporate allocation

5. Comprehensive Ratio Analysis (Formulas & Computation)

Evaluation of profitability, return, liquidity, solvency, and operational efficiency ratios with explicit mathematical formulas and distinction between calculated and reported figures:

Financial Ratio	Mathematical Formula	FY23	FY24	Classification	Analytical Interpretation
Operating Margin (EBIT Margin)	<i>EBIT / Revenue from Operations × 100</i>	24.06%	24.62%	Calculated & Reported (24.6%)	+56 bps expansion from productivity gains and SG&A; leverage.
Net Profit Margin (PAT Margin)	<i>PAT / Revenue from Operations × 100</i>	18.69%	19.06%	Calculated	Consistent net income conversion across business cycles.

Return on Equity (ROE)	<i>PAT / Average Shareholders' Equity × 100</i>	46.91%	50.75%	Calculated	Return on equity sustained by asset-light model and dividend distributions.
Return on Capital Employed (ROCE)	<i>EBIT / (Total Assets - Current Liabilities) × 100</i>	52.12%	56.89%	Calculated	Operational earnings generated relative to net operating capital.
Current Ratio	<i>Total Current Assets / Total Current Liabilities</i>	2.71x	2.72x	Calculated	Short-term liquid resources cover short-term obligations by 2.72x.
Debt-to-Equity Ratio	<i>Interest-Bearing Borrowings / Total Equity</i>	0.00x	0.00x	Calculated	Zero bank debt. Including Ind AS 116 lease liabilities: 0.086x.
Cash Conversion Ratio	<i>CFO / PAT × 100</i>	99.57%	96.46%	Calculated	Over 96% of reported annual net profit realized in operational cash flow.
Diluted EPS	<i>PAT / Weighted Average Diluted Shares</i>	INR 115.19	INR 126.88	Reported	+10.15% YoY growth per share, aided by equity share buyback.

6. Business Analysis & Financial Health Synthesis

- **Revenue Trajectory & Business Mix:** TCS recorded top-line growth of +6.85% YoY (consolidated revenue reached INR 240,893 crore), supported by execution of long-term transformation contracts across BFSI, manufacturing, and consumer verticals, offsetting softer discretionary client spending in North America.
- **Cost Structure & Margin Trajectory:** EBIT expanded +9.34% YoY to INR 59,302 crore, with operating margins improving by 56 basis points to 24.62% (reported at 24.6%), driven by workforce deployment optimization, reduced subcontractor utilization, and productivity initiatives.
- **Liquidity Position & Capital Structure:** TCS maintains an unencumbered balance sheet with zero interest-bearing institutional borrowings and INR 39,001 crore in net surplus cash (after accounting for INR 7,783 crore in Ind AS 116 contractual lease liabilities). Current ratio of 2.72x indicates a substantial liquidity buffer relative to short-term obligations.
- **Capital Allocation & Shareholder Distributions:** Free cash flow increased to INR 41,200 crore in FY24. Reported dividends of INR 17,294 crore and share buybacks of INR 17,000 crore together represented approximately 74.7% of FY24 PAT of INR 45,908 crore. Financing activities also included other distribution-related outflows.

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